

## Federal Reserve

### Fed raises rates by a half point as central banks enter new phase

Shift down from 0.75 point increases comes ahead of similar moves expected by BoE and ECB



The median estimate for the fed funds rate by the end of 2023 rose to 5.1%, up from the 4.6% peak forecasted in September © Joshua Roberts/Reuters

**Colby Smith** in Washington and **Kate Duguid** in New York

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The Federal Reserve on Wednesday raised its benchmark policy rate by half a percentage point and signalled its intention to keep squeezing the US economy next year, as central banks on both sides of the Atlantic enter a new phase in the battle against inflation.

At its final gathering of the year, the Federal Open Market Committee voted unanimously to increase the federal funds rate to a target range of 4.25 per cent to 4.5 per cent. It was a step down in the pace of tightening that marked a months-long string of 0.75 percentage point increases.

The pivot to smaller rate rises is likely to be followed internationally, with the European Central Bank and the Bank of England both poised to increase borrowing costs by half a percentage point on Thursday.

Economists say inflation has peaked in all three regions, with reductions in the [headline rate in the US](#) and UK this week, but central banks remain worried that it will take too long to fall towards their 2 per cent targets.

In a press conference following the decision, [Fed](#) chair Jay Powell said: “We’ve covered a lot of ground and the full effects of our rapid tightening so far are yet to be felt. We have more work to do.”

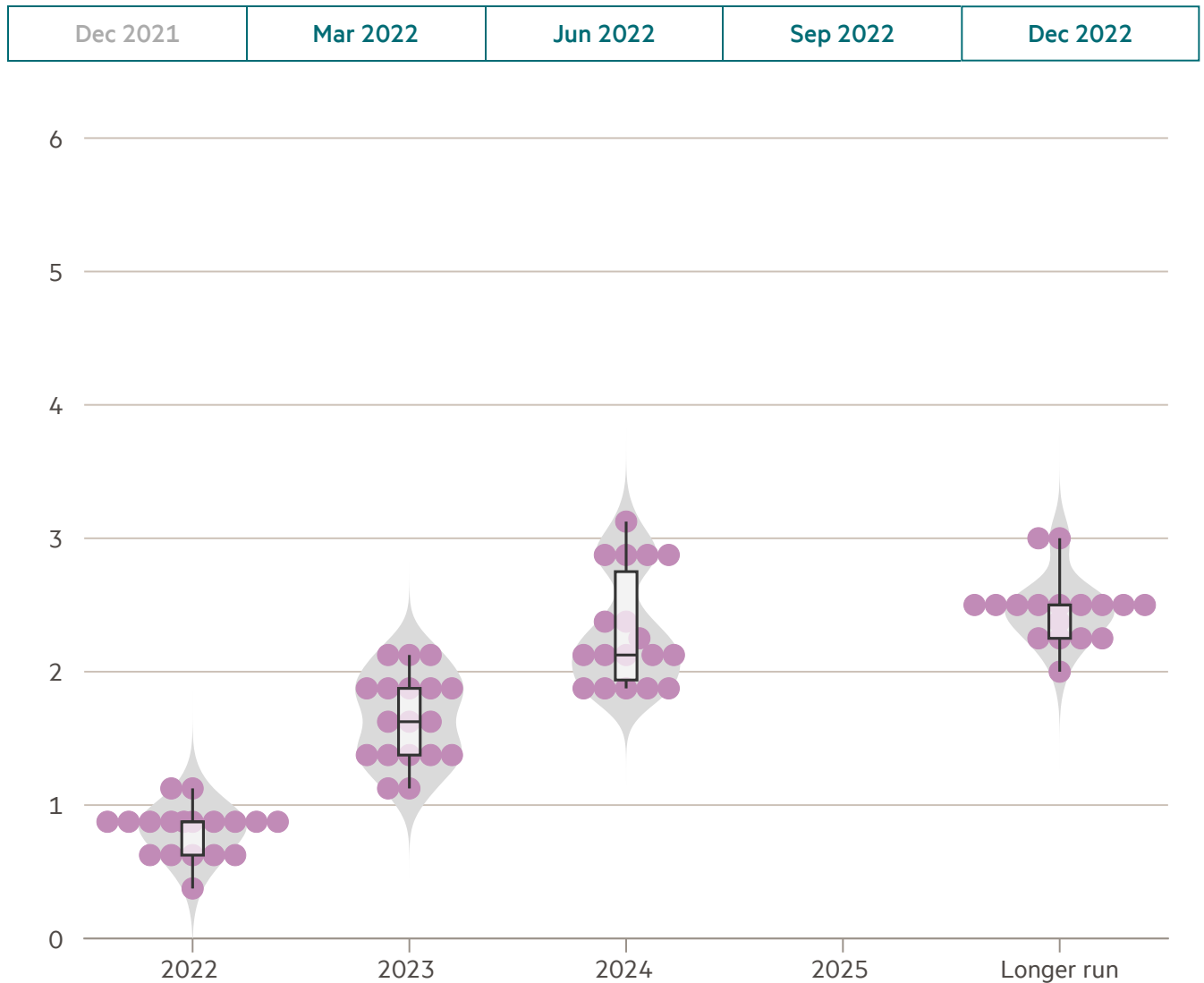
Powell welcomed a reduction in headline price growth in the US in October and November but warned “it will take substantially more evidence to give confidence that inflation is on a sustained downward path”.

In its statement the Fed said “ongoing increases” in the policy rate would be “appropriate” in order to ensure it is restraining the economy enough to bring price growth under control.

Trading was choppy following the statement and Powell’s press conference. The S&P 500 closed 0.6 per cent lower and the Nasdaq Composite shed 0.8 per cent. The two-year Treasury yield, which moves with interest rate expectations, was flat at 4.2 per cent.

## Fed officials project larger interest rate rises and sooner than expected

Each dot represents one FOMC participant's projection for the midpoint of US interest rates (%) from every meeting since December 2021. Boxplot lines indicate first quartile, median and third quartile values for each annual projection. The interest rate in Dec 2022 is 4.375%.



Source: Federal Reserve  
FT Graphic: Caitlin Gilbert

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Jay Barry, co-head of US rates strategy at JPMorgan, said that ahead of the decision investors had debated whether the Fed would drop the “ongoing increases” language in favour of something more dovish. Sticking with the same phraseology “suggests we’re multiple meetings away from the tightening cycle being done”, Barry added.

Alongside the rate decision, the Fed published a revised “dot plot” of officials’ individual interest rate projections, which indicated support for further tightening next year.

The median estimate for the fed funds rate by the end of 2023 rose to 5.1 per cent, up from the 4.6 per cent peak forecasted the last time projections were [published in September](#). That suggests a total of 0.75 points’ worth of rate rises still to come.

Most officials now see the policy rate declining to 4.1 per cent in 2024 and 3.1 per cent in 2025. That compares to 3.9 per cent and 2.9 per cent, respectively, three months ago.

However, Powell noted Fed officials had consistently increased their forecasts for peak interest rates and warned: “I can’t tell you confidently that we won’t move up our estimate . . . again.”

A large cohort of policymakers anticipated the policy rate surpassing 5.25 per cent next year, with only two saying it should peak below 5 per cent.

Asked about the potential for rate cuts next year, a move anticipated by traders in fed funds futures, Powell said the central bank is not yet thinking about easing up.

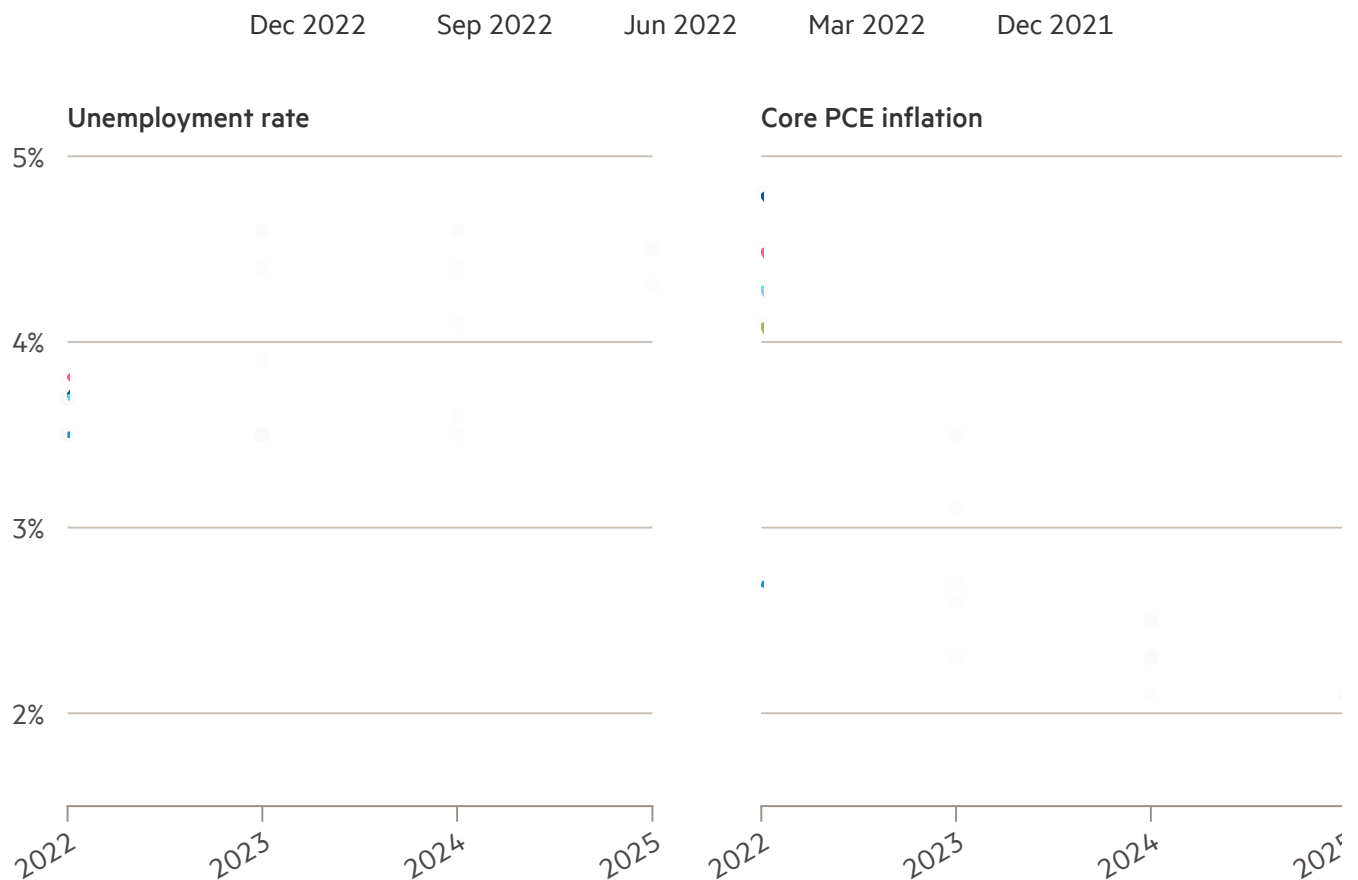
“I wouldn’t see us considering rate cuts until the committee is confident that inflation is moving down to 2 per cent in a sustained way — that’s the test,” he said, adding that the dot plot does not suggest any let-up in 2023.

Policymakers increased their forecasts for inflation next year, with the median estimate for the Fed’s preferred gauge — the core personal consumption expenditures price index — rising to 3.5 per cent, compared to 3.1 per cent in September.

In 2024, most officials anticipate it will have only declined to 2.5 per cent, still above the central bank’s target. It is forecast to decline to 2.1 per cent the following year.

## The Fed's economic outlook has worsened over time

Median projections by the FOMC of the unemployment rate and core PCE inflation for each FOMC meeting since December 2021.



Source: Federal Reserve  
FT Graphic: Caitlin Gilbert

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Policymakers were more downbeat on the outlook. The economy is set to grow just 0.5 per cent in 2023 before registering a 1.6 per cent expansion in 2024 as the unemployment rate tops out at 4.6 per cent.

In September, most officials predicted economic growth of 1.2 per cent for 2023 followed by a 1.7 per cent increase in 2024, with the unemployment rate topping out at 4.4 per cent.

The December meeting marks an important juncture for the Fed, which this year embarked on the most aggressive attempt to tighten monetary policy since the early 1980s.

As the central bank's actions have begun to have a noticeable impact on the economy, a [debate](#) has emerged about how much more restraint is needed to tame inflationary pressures that remain elevated in many sectors.

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